EXECUTIVE SUMMARY

NEO corporate overhead: what's in it and why it runs above peers · FY2025, Q3 2026 where noted

1 · WHAT'S IN G&A (SLIDE 5)

- **$273.3M, 37.6% of sales,** but only **$176M is the day-to-day back office.**
- **$68M is non-cash:** stock pay $34.3M, depreciation $20.8M, amortization $12.8M.
- **$22M is "one-time"** (Natera litigation, Pathline deal, CEO change) and **$7.3M** is executive and board cash pay.
- G&A dollars rose 24% since 2021; the ratio fell only because sales rose 50%. People (+$11.5M) and software (+$8.0M) drove 2025.

2 · WHY IT'S ABOVE PEERS (SLIDE 6)

- **vs. Quest: 30.6 pts ($223M).** 10.2 pts is stock pay, one-offs and depreciation; 20.4 pts is recurring cash overhead.
- **vs. specialty labs, total SG&A is *low*** (50.2% vs. 55.4% median) because NEO spends little on selling.
- **G&A is the outlier:** 31.1% of sales like for like vs. a 24.3% peer median: **6.8 pts, ~$50M** ($28M ex one-offs).
- Behind it: four acquisitions, **80 days to collect** vs. 48 at Quest, 83% of stock pay landing in G&A, CEO turnover, headcount +14% vs. sales +10%.

$28–50M / yr
Recurring G&A above the specialty median

~$64M cash
One-time, if NEO collected in 48 days like Quest

~40% SG&A
A credible goal; Quest's 18% is the wrong target

Recommendation: judge overhead against specialty labs, not Quest and Labcorp. Target G&A ex stock pay and amortization at ~24% of sales (from 31.1%) by finishing integration and fixing billing and collections. Hold G&A dollars flat while sales grow, and move stock pay out of G&A-heavy grants. Protect the sales force: at 12.6% of sales it is already lean.

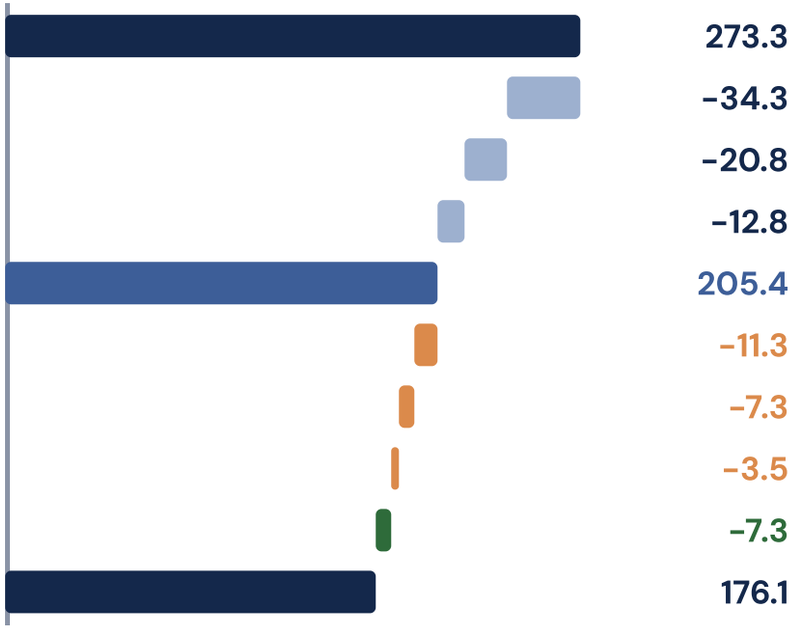
All figures from FY2025 10-Ks, the 2026 proxy and earnings releases for NeoGenomics and eight peers, or simple arithmetic on them. Like for like = G&A excluding stock pay and amortization. Not investment advice.

PART 1 · SLIDE 5 DEEP DIVE

G&A, PEELED BACK IN LAYERS

FY2025 general & administrative costs of $273.3M · non-cash, one-off, leadership and the real back office

FROM $273M REPORTED TO $176M OF REAL BACK OFFICE ($M)



Reported G&A	**273.3**
- Stock-based pay	**-34.3**
- Depreciation	**-20.8**
- Amortization of acquired assets	**-12.8**
= Cash G&A	**205.4**
- Patent litigation (Natera)	**-11.3**
- Deal costs (Pathline etc.)	**-7.3**
- CEO transition	**-3.5**
- Exec cash pay & board fees	**-7.3**
= Core back office	**176.1**

SHARE OF SALES



Reported G&A	**37.6%**
Cash G&A	**28.2%**
Cash, ex one-offs	**25.2%**
Core back office	**24.2%**

WHERE EACH LINE COMES FROM

Stock pay and depreciation: 10-K tables by expense line (Notes 5 and 9). Cash G&A $205.4M: segment note (Note 17). Amortization: the remainder. One-offs: adjusted EBITDA reconciliation. Exec and board cash: 2026 proxy.

Over a third of "overhead" ($97M) is not back-office spending. Cutting staff or vendors can only reach the $176M core (24% of sales), plus stock pay through policy.

Sources: NeoGenomics FY2025 10-K (Note 5 depreciation by line, Note 9 stock pay by line, Note 17 segment expenses, adjusted EBITDA reconciliation); 2026 proxy statement.

PART 1 · SLIDE 5 DEEP DIVE

INSIDE THE $176M BACK OFFICE

What the filings disclose about the core, and how it moved in 2025

What the 10-K says is in G&A	Dollar detail disclosed	2025 change $M
Pay & benefits: executive, billing, finance, HR, IT, admin staff	Largest component (10-K)	**+11.5**
Software development & other technology	Named	**+8.0**
Transaction costs	Pathline $4.7M in G&A	**+1.4**
Legal & other professional fees	Incl. Deloitte $2.8M (audit $2.0M)	**-2.1**
Equipment maintenance	Named	**-1.8**
Travel	Named	**-1.3**
Amortization	In G&A: $12.8M	**-1.0**
Facilities	Rent company-wide $9.6M	**-0.5**
Total change in G&A	**named items net +$14.2M; rest named items net to +$12.9Mminus;$0.6M**	**+13.6**

HARD NUMBERS

Headcount: ~2,500 FTEs, up from ~2,200 (+14%) while sales grew 10%.
People drive it: pay was the largest rise in G&A and in lab costs (+$34.8M together).
Stock pay: 83% of the company's $41.3M lands in G&A.
Rent: $9.6M total operating lease cost, labs and offices combined.

NOT DISCLOSED

NEO does not report the $176M by function (billing vs. IT vs. finance). Splitting it needs internal data: G&A by cost center, headcount by department and top vendors.

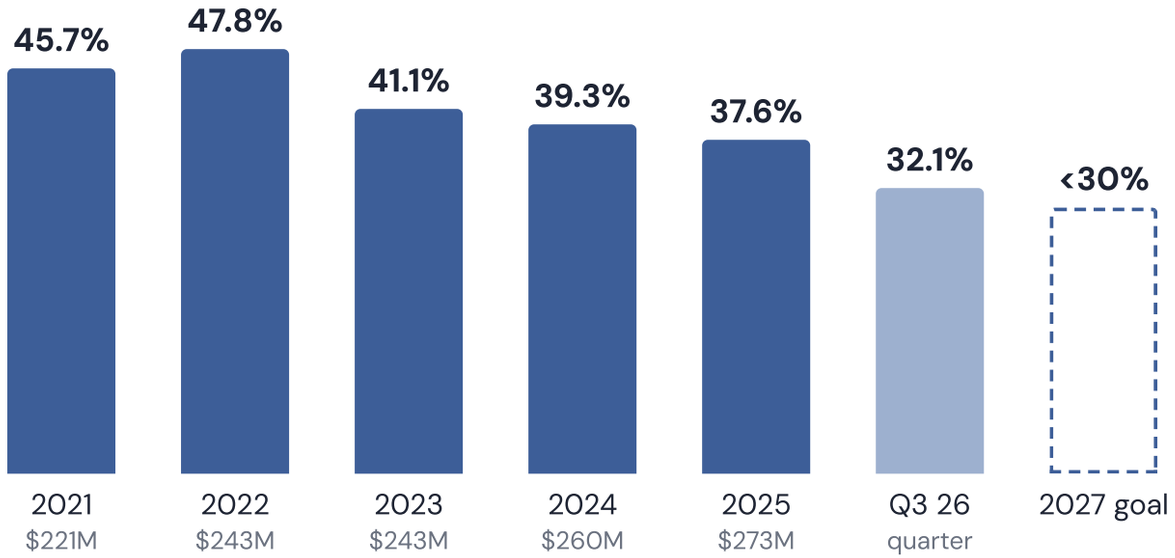
Sources: NeoGenomics FY2025 10-K (G&A description and MD&A drivers, Pathline note, leases, human capital); FY2024 10-K (headcount); 2026 proxy (audit fees).

PART 1 · SLIDE 5 DEEP DIVE

OVERHEAD FELL AS A SHARE, NOT IN DOLLARS

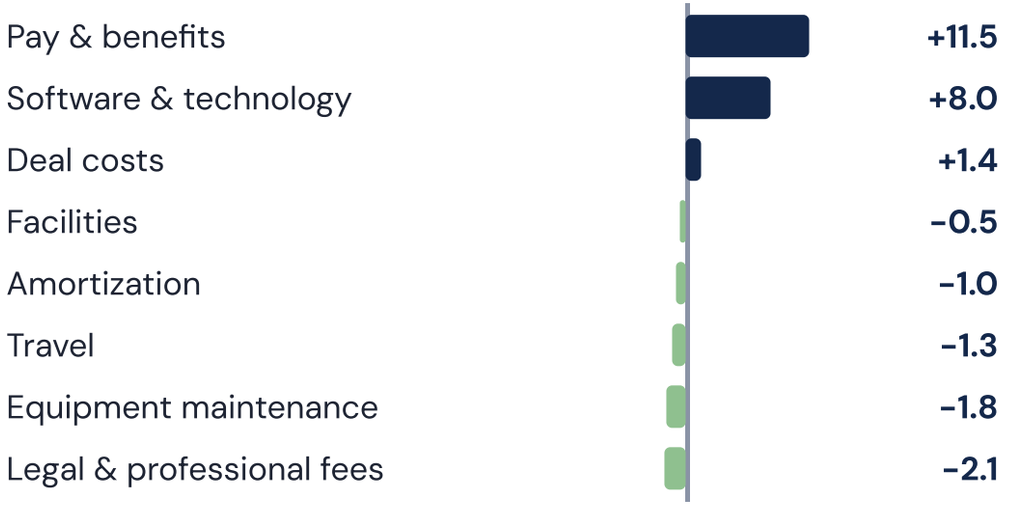
G&A FY2021–FY2025, Q3 2026, and what changed in 2025

G&A AS A SHARE OF SALES



Dollars rose in three of four years ($221M → $273M, +24%) but sales rose faster (+50%). The ratio fell because of growth, not cuts.

WHAT MOVED G&A IN 2025 ($M, +$13.6M NET)



People and systems added $19.5M; everything NEO cut came to $6.7M. Pathline integration put $4.7M into G&A.

Sources: NeoGenomics 10-Ks FY2021–FY2025 (via SEC XBRL company facts; FY2025 MD&A G&A drivers); Q3 2026 results. Q3 2026 is a single quarter.

PART 1 · SLIDE 5 DEEP DIVE

WHAT MANAGEMENT CAN ACTUALLY CUT

Each piece of FY2025 G&A by cash impact, recurrence and controllability

Piece of G&A	$M	% sales	Cash?	Recurs?	Can management cut it?
Core back office	176.1	24.2%	Cash	Recurring	**Yes: process, systems, sourcing, location**
Stock-based pay	34.3	4.7%	Non-cash	Recurring	**Yes, by policy; lifts profit, not cash**
Depreciation	20.8	2.9%	Non-cash	Recurring	**Only through lower capex over time**
Amortization	12.8	1.8%	Non-cash	Runs off	**No; set by past deals**
Litigation, deals, CEO change	22.0	3.0%	Cash	“One-time”	**Mostly rolled off ($2.6M Jan–Sep 2026), but $26M in 2024**
Exec cash pay & board	7.3	1.0%	Cash	Recurring	**Small; governance, not savings**
Total G&A	**273.3**	**37.6%**			

$176M cash pool

Each 10% out of the core = $17.6M, 2.4 pts of sales. The <30% goal has to come from here.

$41M stock pay

Holding it to 2.5% of sales would cut $23M of reported cost, no cash.

$34M fixed by the past

Depreciation and amortization; leave them out of savings targets.

Sources: as slide 2; Q3 2026 investor presentation (one-off run-rate); FY2025 10-K (2024 one-offs: $26.1M). Savings figures are arithmetic, not company targets.

PART 2 · SLIDE 6 GAP ANALYSIS

THE GAP DEPENDS ON THE YARDSTICK

Overhead as a share of sales, FY2025 · routine labs vs. specialty and oncology labs

Company (FY2025)	Sales $M	SG&A	Sales & mktg	G&A	Stock pay	Days to collect
Labcorp (routine)	13,952	15.9%	–	–	0.9%	55
Quest Diagnostics (routine)	11,035	17.8%	–	–	0.8%	47
Exact Sciences	3,247	59.7%	32.3%	27.4%	6.7%	34
Natera	2,306	51.1%	–	–	15.4%	47
Myriad Genetics	824	65.2%	34.1%	31.1%	4.3%	51
NeoGenomics	**727**	**50.2%**	**12.6%**	**37.6%**	**5.7%**	**80**
Veracyte	517	40.8%	19.4%	21.4%	8.4%	32
Castle Biosciences	344	66.6%	40.1%	26.5%	13.3%	46
Fulgent Genetics	323	49.6%	13.4%	36.2%	12.3%	96
Specialty median		**55.4%**	**32.3%**	**27.4%**	**10.4%**	**46**

VS. QUEST & LABCORP

NEO is ~3× on SG&A. They run a high-volume routine-test model on 15–19× the sales.

VS. SPECIALTY LABS

NEO's SG&A is **below** the median: selling is 12.6% vs. 32.3%, and stock pay is 5.7% vs. 10.4%.

THE REAL OUTLIERS

G&A at 37.6%, highest in the group, and 80 days to collect vs. a 46-day median. Only Fulgent is worse on either.

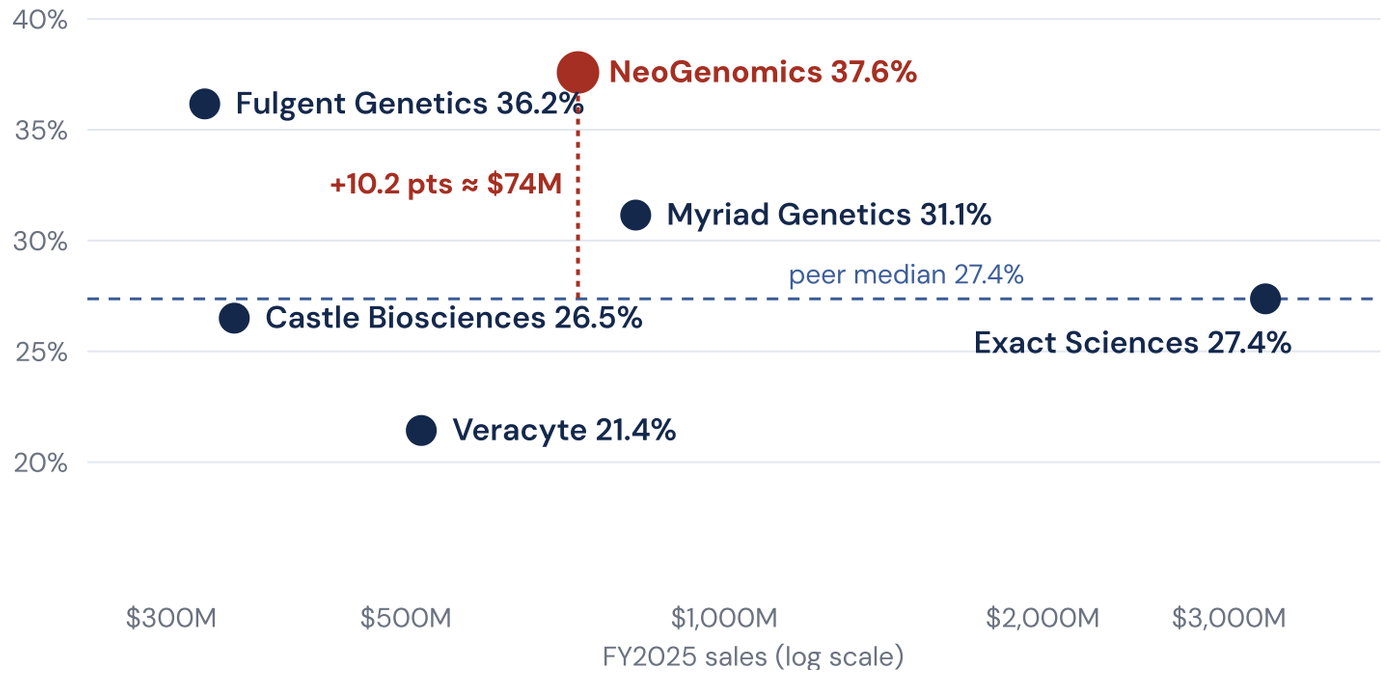
Sources: FY2025 10-Ks via SEC XBRL company facts (sales, SG&A, S&M, G&A, stock pay, receivables). Days to collect = year-end receivables ÷ sales × 365 (Quest reports 48). Myriad G&A includes $34.7M amortization; NEO SG&A is 48.5% ex amortization.

PART 2 · SLIDE 6 GAP ANALYSIS

NEO'S G&A IS HIGH FOR ITS SIZE

Specialty peers that report G&A separately · Quest and Labcorp report only combined SG&A

G&A AS % OF SALES VS. COMPANY SIZE, FY2025



SCALE DOESN'T EXPLAIN IT

Veracyte and Castle are **smaller** than NEO and run G&A at 21–27%. Myriad, a similar size, is 6.5 pts lower even with $34.7M of amortization inside its G&A.

FULGENT IS THE WARNING

The other lab grown by acquisition, with a pathology-services mix, sits next to NEO at 36.2% (31.7% without a $14.5M liability accrual).

AND IT'S MOVING

Q3 2026 G&A was 32.1% of sales. Still above the median, but the gap has roughly halved.

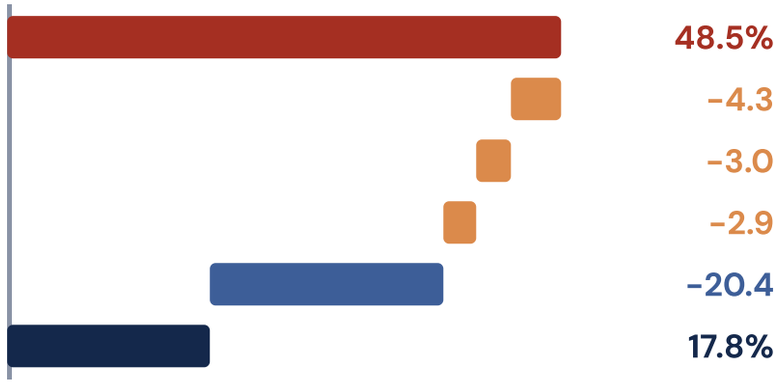
Sources: FY2025 10-Ks (XBRL company facts; Fulgent 10-K litigation note). G&A shown as reported, including each company's stock pay and any D&A booked there.

PART 2 · SLIDE 6 GAP ANALYSIS

WHY NEO SPENDS 30 POINTS MORE THAN QUEST

Bridge of the 30.6-point SG&A gap ($223M a year at NEO's sales), FY2025

FROM 48.5% TO 17.8% OF SALES, IN POINTS



Inside NEO's recurring cash SG&A of 38.2%: selling 12.2% and G&A 25.2%. Quest reports SG&A as one line, so its side can't be split the same way.

10.2 pts · $75M

Accounting & one-offs. Real costs, but not a bloated back office. All three from NEO's 10-K.

20.4 pts · $148M

Recurring cash overhead. A sales force Quest barely needs, collections that take 80 days vs. 48, fixed corporate costs on 1/15th the sales, and some plain excess.

How much of that is excess? Quest can't say. Specialty peers can: like for like, NEO's G&A is 3.8–6.8 pts high (next slide).

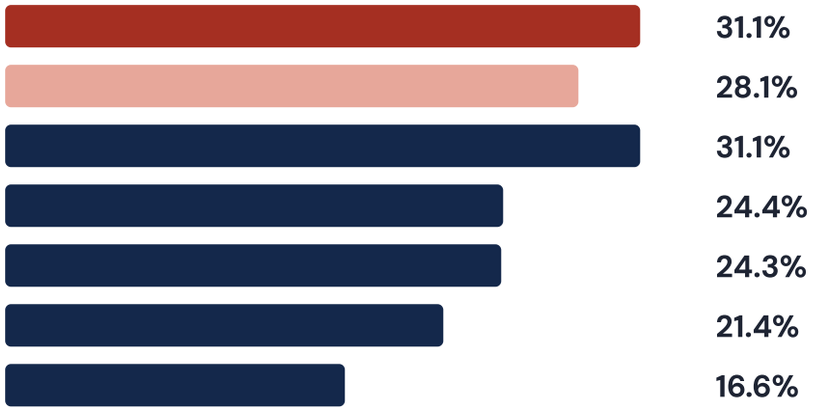
Sources: NeoGenomics FY2025 10-K (stock pay and depreciation by line, one-offs); Quest FY2025 10-K (SG&A $1,967M, stock pay $88M, DSO 48). Quest's stock pay is total company and its own one-offs and depreciation in SG&A aren't removed, so the orange bars are upper bounds.

PART 2 · SLIDE 6 GAP ANALYSIS

LIKE FOR LIKE, G&A IS 4–7 POINTS HIGH

G&A with stock pay and amortization removed for every company, FY2025

G&A EXCLUDING STOCK PAY AND AMORTIZATION, % OF SALES



NeoGenomics	**31.1%**
NeoGenomics ex one-offs	**28.1%**
Fulgent Genetics (incl. $14.5M accrual)	**31.1%**
Exact Sciences	**24.4%**
Myriad Genetics	**24.3%**
Castle Biosciences	**21.4%**
Veracyte	**16.6%**

Peer median: 24.3%. Depreciation stays in for everyone (peers don't split it out); NEO's is 2.9 pts.

6.8 pts ≈ $50M

NEO vs. the specialty median, like for like.

3.8 pts ≈ $28M

Same, after also removing NEO's $22M of 2025 one-offs. This is the recurring cash prize; the v2 deck sized it at ~$24M.

Target to hold management to: G&A ex stock pay and amortization at ~24% of sales (from 31.1%). At 2025 sales that is $28–50M a year, and it gets easier if G&A dollars stay flat as sales grow.

Sources: FY2025 10-Ks: stock pay in G&A (NEO $34.3M, Exact $96.3M, Veracyte $25.1M, Myriad $22.1M, Castle $17.4M, Fulgent $16.5M); Myriad amortization in G&A $34.7M; NEO amortization in G&A $12.8M; Fulgent accrual from its litigation note.

PART 2 · SLIDE 6 GAP ANALYSIS

SIX REASONS NEO'S OVERHEAD RUNS HIGH

What the filings show behind the gap

1 · Four deals, never one company

Clarient (2015), Genoptix (2018), Inivata (2021), Pathline (2025). Overlapping labs, systems and teams. "One-time" costs every year: $26.1M in 2024, $49.8M in 2025.

2 · Slow collections

80 days of sales sit in receivables vs. 48 at Quest and a 46-day specialty median. Only Fulgent (96) is worse. The billing staff who chase it sit in G&A.

3 · Stock pay concentrated in G&A

Total stock pay is low for a specialty lab (5.7% vs. 10.4% median), but 83% of it lands in G&A vs. 38–63% at peers: it goes to executives and admin, not sales or R&D.

4 · Leadership churn

CEO changed in 2025 (Smith to Zook) and changes again in January 2027 (Stone). 2025 carried $3.5M of transition costs and $7.7M of pay to two departed executives.

5 · Systems spend rising

Software & technology +$8.0M in 2025, the biggest non-pay increase in G&A. Running old and new platforms side by side costs double until the old ones are switched off.

6 · People ahead of sales

Headcount ~2,200 → ~2,500 (+14%) while sales grew 10%. G&A pay +$11.5M. Plus $11.3M of Natera patent litigation to defend RaDaR.

Accounting / one-off Operations (fix over 1–2 years) Management choices (fix now)

Sources: NeoGenomics FY2025 and FY2024 10-Ks (history, one-offs, drivers, receivables, headcount); 2026 proxy (pay: Smith $4.05M, Harris $3.69M); Q3 2026 results (CEO succession); peer FY2025 10-Ks (receivables, stock pay by line).

PART 2 · SLIDE 6 GAP ANALYSIS

CLOSING THE GAP: WHAT'S WORTH DOING

Actions mapped to the gap they close · sized from reported numbers

Action	Gap it closes	Size	Cash?	Status
Bring G&A ex stock pay & amortization to the peer median (~24%)	Excess, integration	$28–50M	Cash	Q3 2026 at 32.1% reported G&A
Collect in 48 days, not 80: automate prior auth, denials and appeals	Billing	~$64M once	Cash	v2: ~93 days in 2026, worsening
Finish integration: one lab system, one billing platform, close duplicate sites	Integration	Part of row 1	Cash	2 dry labs closed in 2026
Hold stock pay to 2.5% of sales; shift grants away from G&A	Stock pay	$23M profit	Non-cash	Not started
Hold G&A dollars flat while sales grow 10%	Scale	3.4 pts in a year	Both	Q3 2026 trend supports it
Budget for deal and legal costs instead of calling them one-time	One-offs	Visibility	–	Rolled off in 2026

Prize: $28–50M a year of G&A plus ~$64M of cash from faster collection. That covers half to all of the remaining $49M operating loss.

Don't chase Quest's 18%, and don't cut the sales force: at 12.6% of sales it is well under the 32% specialty median.

Sizes are arithmetic on FY2025 reported figures, not company targets; they overlap, so don't add them up. Cash from collections: 32 days × $1.99M of sales a day. Not investment advice.

SOURCES AND METHOD

Every figure is reported or is arithmetic on reported figures

NEOGENOMICS

- **FY2025 10-K** (filed 2026-02-17): income statement; MD&A cost drivers; Note 5 depreciation by line (G&A $20.8M); Note 9 stock pay by line (G&A $34.3M, S&M $3.1M); Note 17 segment expenses (other G&A $205.4M); adjusted EBITDA reconciliation (litigation $11.3M, deals $7.3M, CEO $3.5M); receivables $159.2M; leases; ~2,500 FTEs.
- **FY2024 10-K:** ~2,200 FTEs. **FY2021–2023 10-Ks:** sales and G&A via SEC XBRL.
- **2026 proxy:** executive and board pay, audit fees. **Q3 2026 results:** G&A 32.1%, CEO succession.

PEERS AND METHOD

- **FY2025 10-Ks** for Quest, Labcorp, Exact Sciences, Natera, Myriad, Veracyte, Castle and Fulgent: line items from SEC XBRL company facts; stock pay in G&A, Myriad amortization, Fulgent accrual and Quest DSO from the 10-K text.
- **Days to collect** = year-end receivables ÷ FY sales × 365, the same for every company.
- **Like for like G&A** = G&A less stock pay in G&A, less amortization booked in G&A.
- **Not public:** NEO's G&A by function and Quest's split of SG&A. Those would need internal data.